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Credit Catalyst: Unveiling India's Credit Landscape

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EXECUTIVE SUMMARY

This report aims to provide an assessment of the Micro, Small and Medium Enterprise sector finance in India. The chapters in the report give an overview of the Indian credit market and highlight the importance of MSMEs in the credit ecosystem, giving a focused examination of their role in job creation, innovation and GDP growth. The report also gives a comprehensive analysis of the challenges faced by MSMEs in acquiring credit and the impact of these challenges on the country's economy. This study explores potential solutions to enhance financial inclusion and credit availability for MSMEs.

The Indian Credit Market

The credit market in India offers a diverse range of financial products and services catering to the needs of individuals, corporations and governments in the country. The market includes public and private sector banks, non-banking financial companies, venture capitalists, moneylenders etc. which provide loans and credit to borrowers.

The Indian credit market serves individuals through a variety of loans like home loans, personal loans, education loans, auto loans etc. There are many borrowing options for corporates including large companies, small and medium enterprises (SMEs) and micro, small and medium enterprises (MSMEs) as well as for central and state governments. As of August 2024, Indian domestic credit reached 3,104.0 billion USD and was growing at the reported rate of 11.0% YoY.

MSMEs in the Credit Ecosystem

MSMEs account for nearly 90% of businesses, more than 70% of employment, and about 50% of GDP worldwide and therefore are the backbone of the economy for most societies.

As per the National Sample Survey (NSS) 73rd round conducted during the period 2015-16, MSME sector created 11.10 crore jobs (360.41 lakh in Manufacturing, 0.07 lakh in Non-Captive Electricity Generation and Transmission, 387.18 lakh in Trade and 362.82 lakh in Other Services) in both rural and the urban areas across the country.

In 2022-23 the share of MSME GVA in all India Gross Domestic Product (GDP) was 30.1% compared and they contributed to 45.73% of India's exports. MSMEs that play a pivotal role in the country's economy need credit to fund their business. Credit is needed for business expansion and growth, to manage cash flow and to maintain operational efficiency, to enhance financial flexibility, improve competitive position and to boost customer and supplier relationships.

Challenges Faced By MSMEs

MSMEs face many challenges that hinder their growth and development. They are often denied credit because of lack of collateral and inability to pay high interest rates. Many MSMEs are unable to get loans from banks because they do not have the required credit score or financial history. As of March 2021, there were about 6.34 crore MSMEs in India. Of these 1.2 crore MSME units were registered under GST there were 4.2 crore MSME bank accounts. Out of the estimated 6.34 crore MSMEs only 2.5 crore have ever been provided credit. Price Waterhouse Cooper's report on "Enhancing the MSME Financing Ecosystem in India" dated November 2019 projected that the overall credit demand by MSMEs by 2024 may reach Rs. 98 trillion. The same report estimated the gap between credit demand and credit availability to MSMEs to be Rs. 37 - 40 trillion.

Broader Impact of the Challenges

When MSMEs, that form the backbone of our economy, don't get enough credit there is bound to be a significant negative impact on the economy. Lack of credit for MSMEs limits their growth and development. They are unable to scale up, invest in new machinery, technology and expand their operations. This in turn hampers their ability to create more jobs. SMEs generally have limited funds to invest in research and development. Lack of credit availability prevents them from investing in research. This hinders innovation and the development of new products and services. SMEs don't generally have the funds to invest in research and development and are dependent on credit for the same. Without sufficient funds they are unable to invest in research, hindering innovation and the development of new products and services. MSMEs contribute to more than 30% of the country's GDP and over 45% of our exports. Lack of funds prevents them from reaching their full economic potential and affects the GDP of the nation.

Actionable Solutions

Tackling the credit gap through inclusive financial policies, innovative lending solutions, and robust regulatory frameworks is essential to ensure sustainable and equitable economic growth. A multifaceted approach including government policies, technological solutions and fintech solutions is required to bridge the credit gap.

Government policies that focus on providing credit for technology upgradation, provide loans without complex procedures and provide collateral free loans are needed. The government has many schemes to fund MSMEs like Credit Guarantee Fund Scheme, Micro Finance Program etc.

Technological solutions can play a transformative role in tackling the credit gap by enhancing access, affordability and efficiency in lending. These include alternative credit scoring, automation in loan processing, education and awareness through digital channels, blockchain technology etc.

Financial institutions can revolutionize the credit market by addressing the credit gap through innovative, technology-driven approaches like digital lending platforms, embedded finance and peer to peer lending.

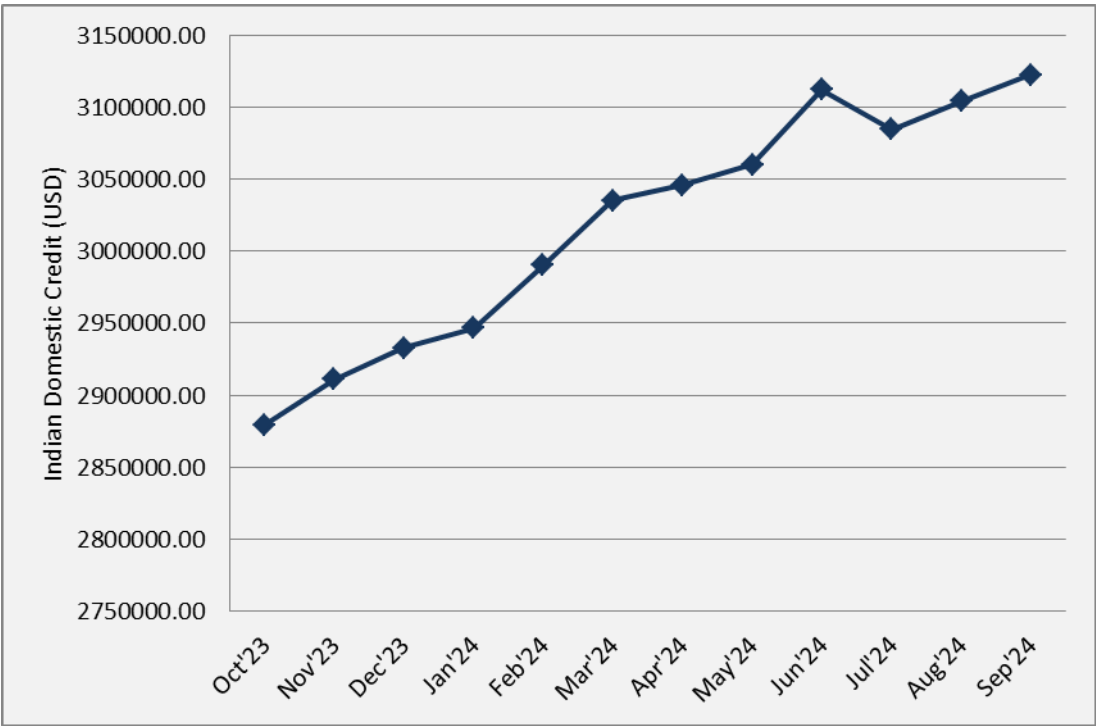
The Indian Credit Market

Size

The Indian credit market is a crucial pillar of the country’s financial system, which encompasses a wide range of financial institutions, products and services, catering to the diverse needs of individuals, corporations and governments. This complex and dynamic system plays a pivotal role in the nation’s economic growth. The market is characterized by a combination of traditional and modern financial institutions and instruments. Traditional public and private sector banks dominate this in-

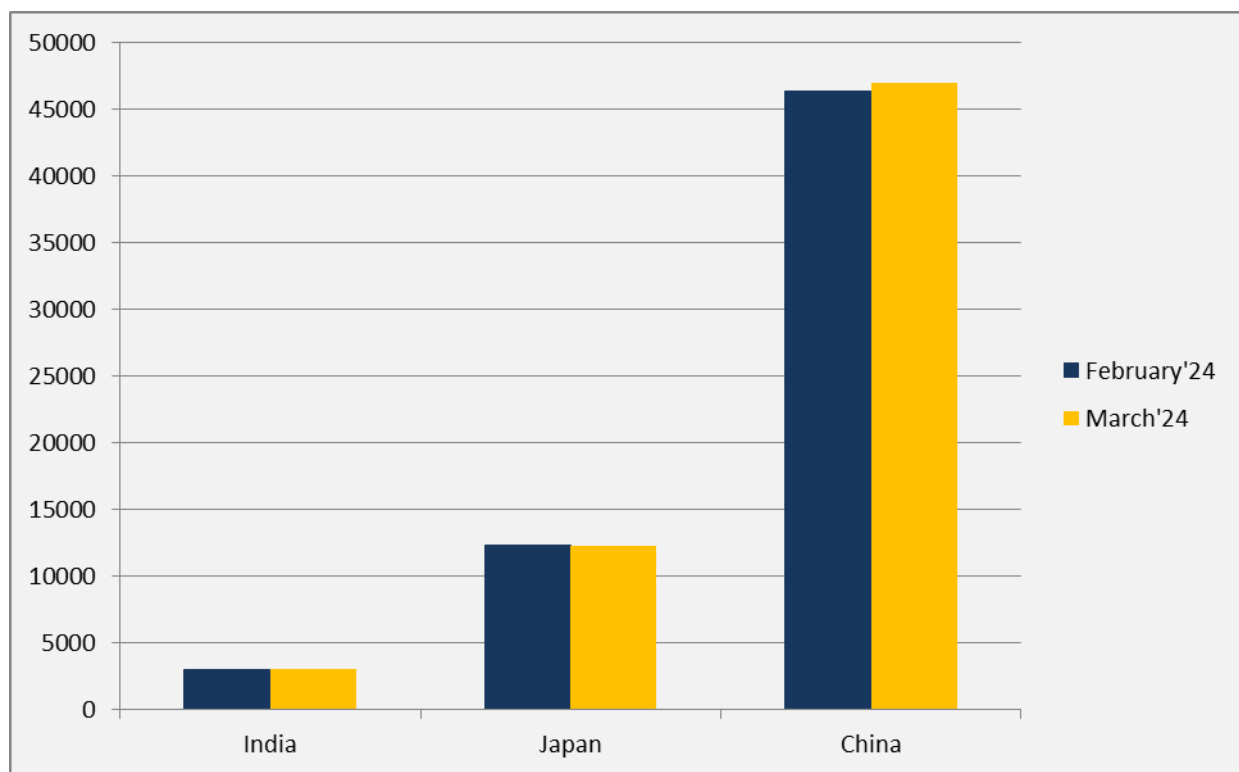
dustry. In recent years though, Non-Banking Finance Companies (NBFCs) have emerged as significant players especially in housing finance, vehicle finance and consumer finance. In the recent decades, the Indian Credit Market has witnessed significant growth and transformation owing to government initiatives and technological advancements. As of August 2024 Indian domestic credit reached 3,104.0 billion USD, compared to the reported figure of 3,084.4 billion USD in the previous month.¹

Figure 1: Indian domestic credit over one year¹



¹Ceic India Domestic Credit

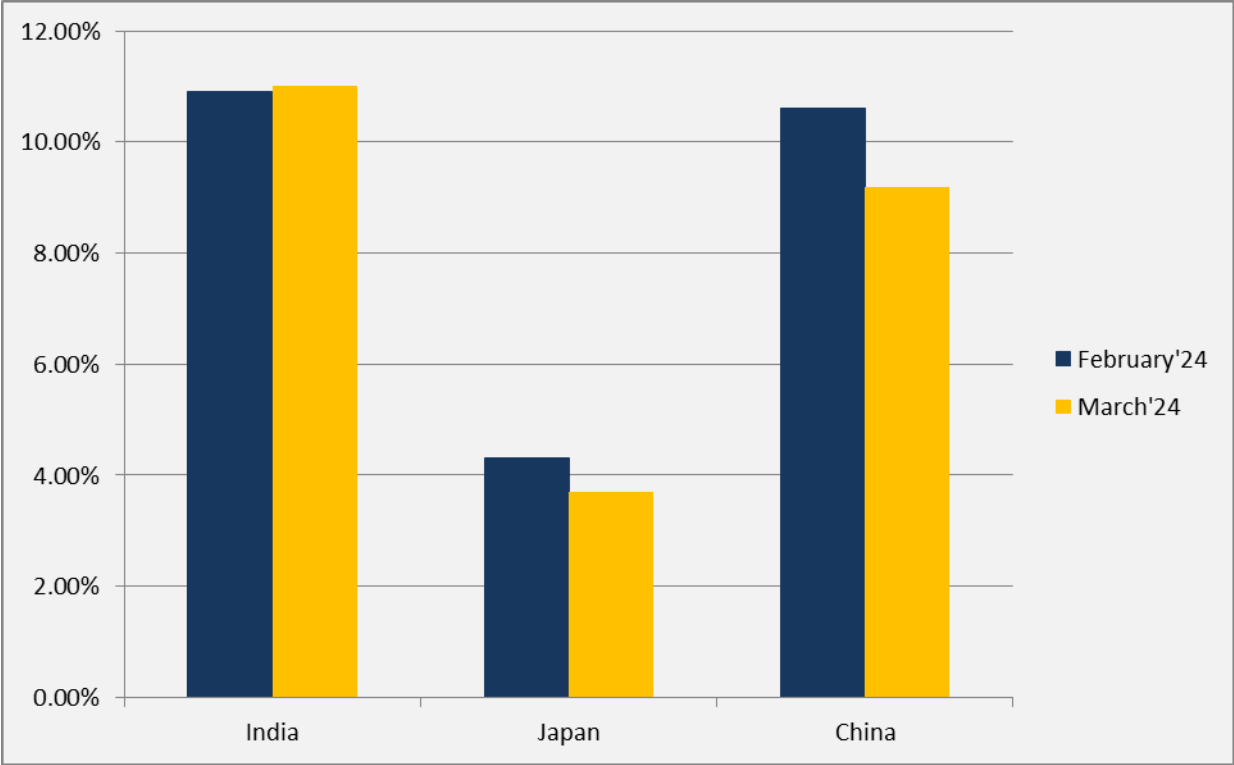
Figure 2: Comparison of Indian domestic credit with the largest Asian economies¹
(Values on Y-Axis are in Bn. USD)



Growth Rate

The country’s domestic credit showed a growth of 10.9% YoY in July, 2024 which increased to 11.0% YoY in August of the same year.¹ The increase in credit reached an all-time high of 27.1% in July 2009 and a record low of 5.4% in May 2021.¹

Figure 3: Comparison of growth of Indian domestic credit with the largest Asian economies²



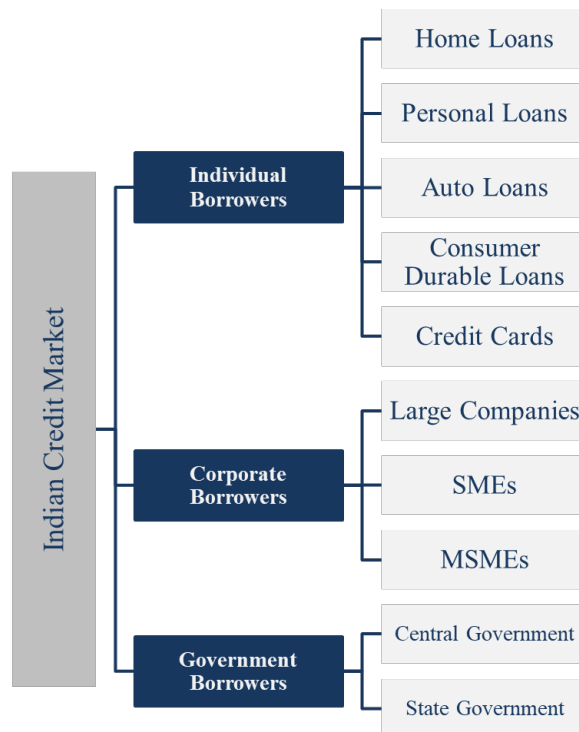
¹Ceic India Domestic Growth ² Ceic Data

Market Segmentation

The Indian credit market caters to a diverse set of borrowers, reflecting the country's varied socio-economic landscape. Market segmentation is based on borrower characteristics,

credit purposes and institutional framework. These divisions help financial institutions tailor their services and products to meet the specific needs of borrowers.

Figure 4: Market segmentation based on the type of borrower



Individual Borrowers

- Home Loans – These are loans for purchasing residential property.
- Personal Loans – Typically unsecured loans for personal needs.
- Auto Loans – Loans to purchase vehicles.
- Consumer Durable Loans – These are loans for purchasing consumer durables like appliances and electronics.
- Credit Cards – This is a financial tool for any kind of purchase.

Corporate Borrowers

- Large Companies – They borrow substantial amounts to fund acquisitions and expansions.
- SMEs – Small and Medium Enterprises that borrow money for working capital and expansions.
- MSMEs – Micro, Small and Medium Enterprises that take loans to fund their working capital needs

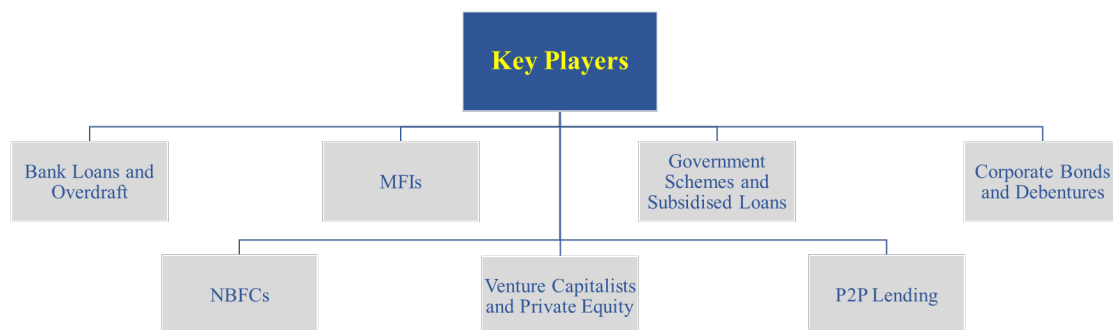
Government Borrowers

- Central Government – They take loans to finance development projects and cover budget deficits.
- State Government – They take loans to fund state-specific development plans.

Key Players

There are many organizations and institutions in the credit market which facilitate the flow of credit among individuals, businesses and governments. The players in the credit market include both institutional players and non-institutional ones. Institutional players like commercial banks, non-banking financial companies (NBFCs), microfinance institutions (MFIs) etc. cater to corporate, retail and agricultural borrowers. They have emerged as key players, leveraging technology to offer required solutions and quench the credit needs of the market. Non-institutional players like moneylenders, chit-funds, family networks etc. usually serve the informal sectors where access to formal credit is limited.

Figure 5: Key Players in the credit market



- Bank Loans and Overdrafts – These are provided by public sector banks, private sector banks, cooperative banks and regional rural banks.
- NBFCs – They generally operate with more flexibility than banks and provide

loans for sectors like housing, vehicles and industry.

- MFIs – Their main aim is to provide small-ticket loans to low income groups mostly in rural areas.
- Venture Capitalists and Private Equity – They fund new startups and high growth companies.
- P2P Lending – They help provide no collateral loans and also provide loans to individuals and businesses with low

credit score.

- Government Schemes and Subsidized Loans – They aim to provide collateral free loans and loans at very low interest rate to underserved sections of the society.
- Corporate Bonds and Debentures – These are an alternative source of funding for companies and reduce their dependence on bank loans.

MSMEs IN THE CREDIT ECOSYSTEM

MSMEs stand for Micro, Small and Medium Enterprises. Micro enterprises are characterized by investment less than Rs. 1 crore and a turnover less than Rs. 5 crore. Small enterprises, on the other hand have investments upto Rs. 10 crore and a turnover up to Rs. 50 crore. Medium enterprises are those which have investments less than Rs. 50 crore and turnover up to Rs. 250 crore.¹

Economic Contributions of MSMEs

MSMEs account for nearly 90% of businesses, more than 70% of employment, and about 50% of GDP across the globe² and therefore are the core of the economy for most societies. They are widening their domains across different sectors of the economy, producing a diverse range of products and services to

meet the demands of domestic and international markets. Through business innovations, these companies have been contributing significantly to the expansion of entrepreneurial endeavours. In India, MSMEs play a crucial role by providing a large number of employment opportunities even in rural and backward areas, assuring more equitable distribution of national wealth.

Micro sector with 630.52 lakh estimated enterprises accounts for more than 99% of total estimated number of MSMEs. Small sector with 3.31 lakh and Medium sector with 0.05 lakh estimated MSME accounted for 0.52% and 0.01% of total estimated MSMEs, respectively. Out of 633.88 estimated numbers of MSMEs, 324.88 lakh MSME (51.25%) are in rural area and 309 lakh MSME (48.75%) are in the urban areas. MSMEs provide services mainly in the Manufacturing, Electricity and Trade sectors among others.³

Figure 6: Estimated number of MSMEs in various sectors

Activity Category	Estimated Number of Enterprises (in lakh)			Share (%)
	Rural	Urban	Total	
Manufacturing	114.14	82.50	196.65	31
Electricity	0.03	0.01	0.03	0
Trade	108.71	121.64	230.35	36
Other Services	102.00	104.85	206.85	33
All	324.88	309.00	633.88	100

¹Ministry of MSME Annual Report 2022-23

Figure 7: Distribution of MSMEs in various sectors in urban and rural areas¹

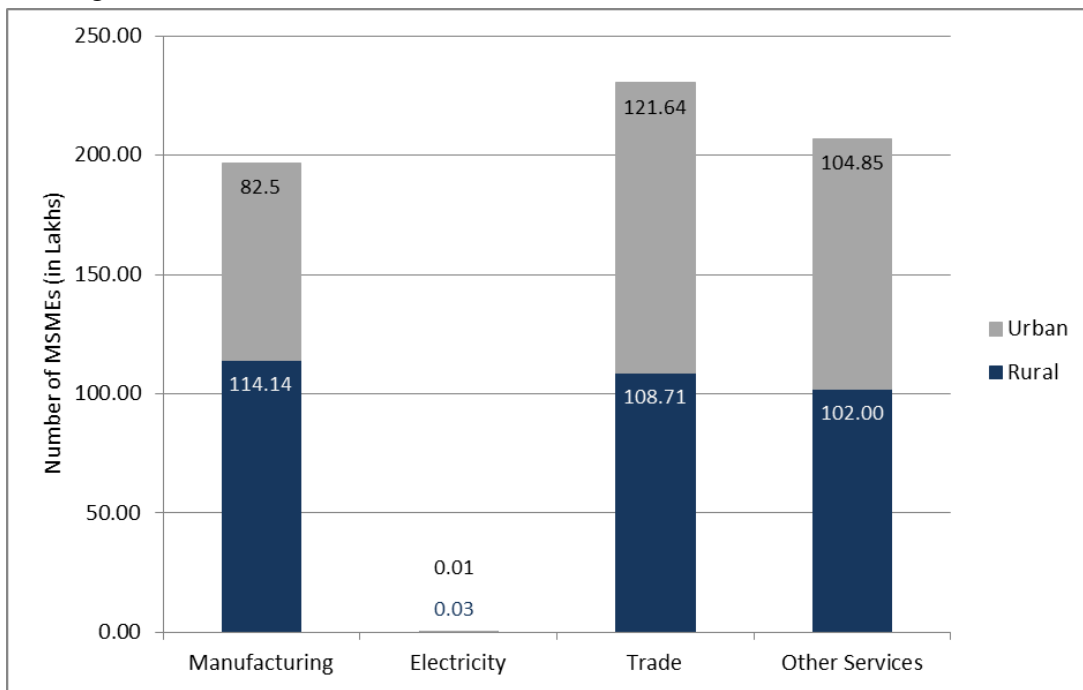
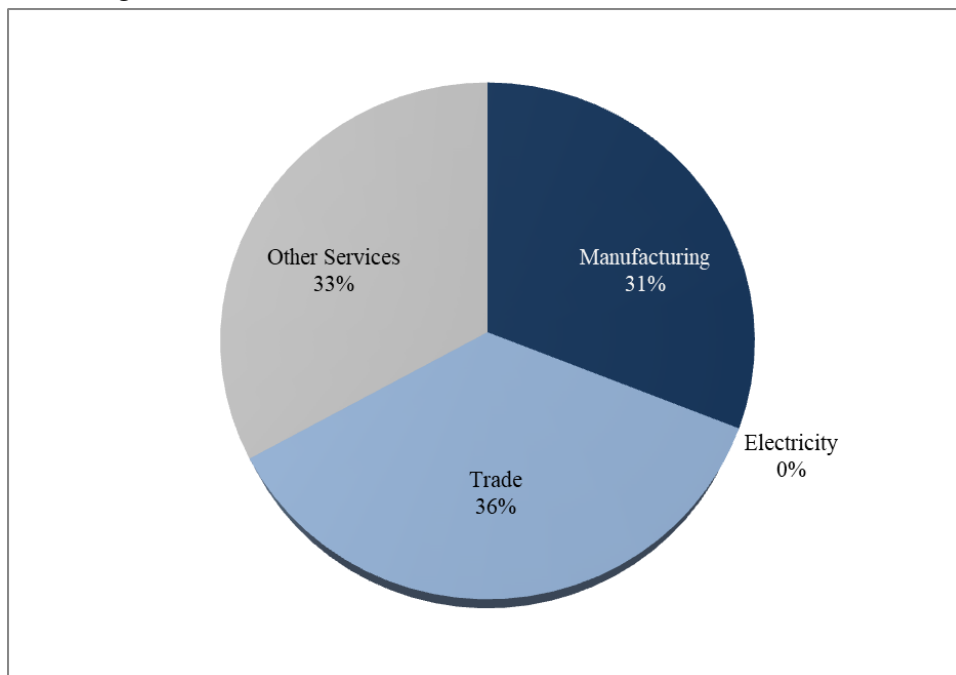


Figure 8: Share of different sectors in the number of MSMEs¹



MSMEs Create Employment -

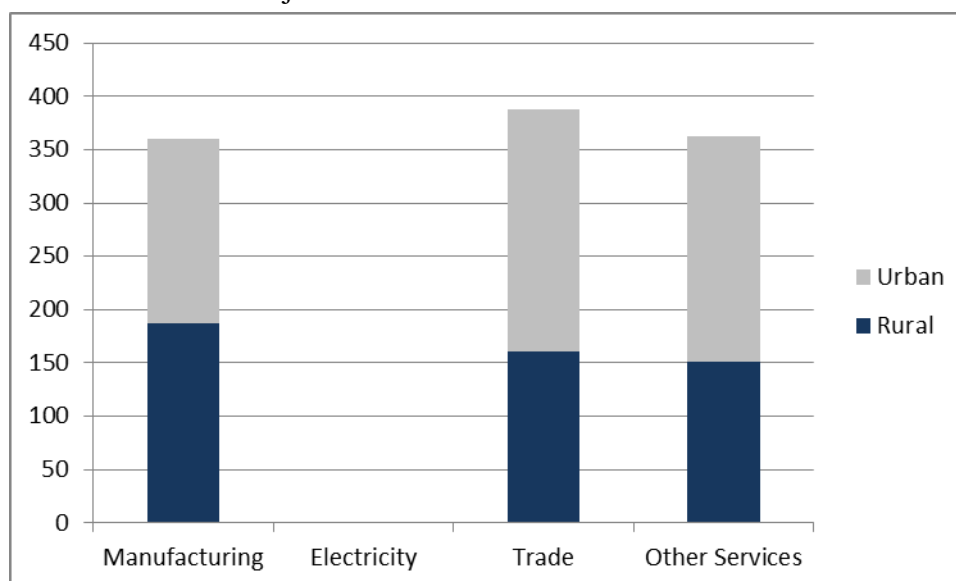
As per the National Sample Survey (NSS) 73rd round conducted during the period 2015-16, MSME sector created 11.10 crore jobs

(360.41 lakh in Manufacturing, 0.07 lakh in Non-Captive Electricity Generation and Transmission, 387.18 lakh in Trade and 362.82 lakh in Other Services) in both rural and the urban areas across the country.

Figure 9: No. of jobs in MSMEs in various sectors¹

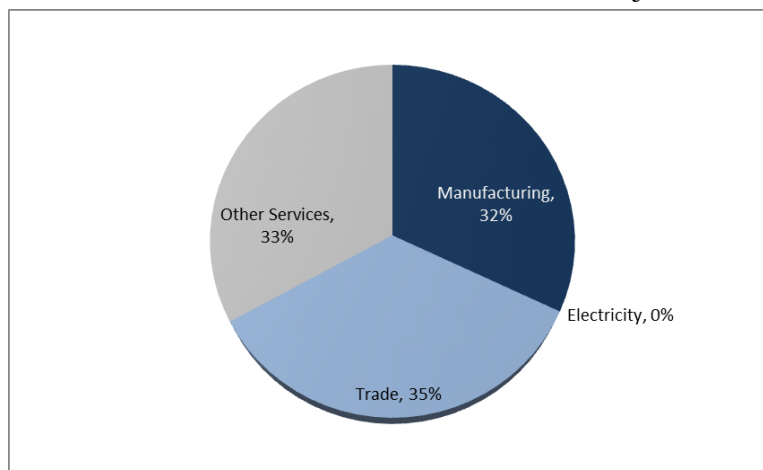
Activity Category	Employment (in Lakh)			Share (%)
	Rural	Urban	Total	
Manufacturing	186.56	173.86	360.41	32
Electricity	0.06	0.02	0.07	0
Trade	160.64	226.54	387.18	35
Other Services	150.53	211.69	362.22	33
All	497.78	612.10	1109.89	100

Figure 10: Distribution of jobs in MSMEs in various sectors in urban and rural areas¹



¹Ministry of MSME Annual Report 2022-23

Figure 11: Share of different sectors in the number of jobs in MSMEs¹



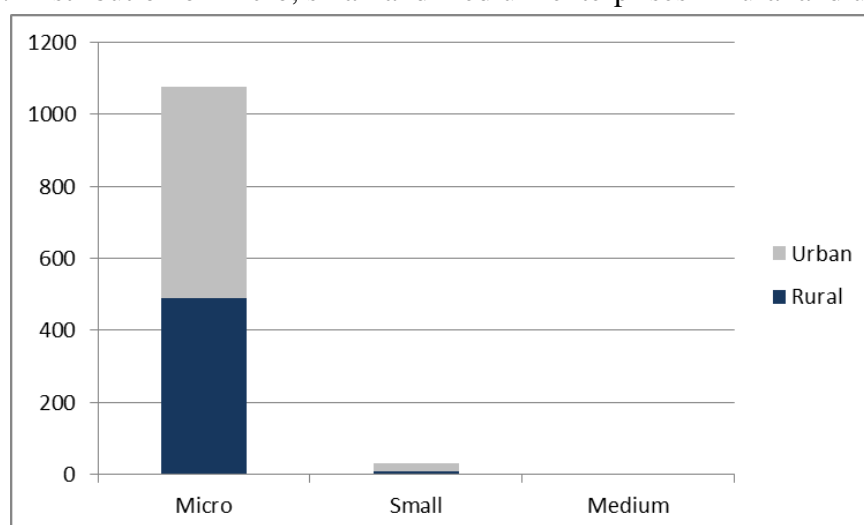
The nearly 630.52 lakh estimated enterprises of the Micro sector provided employment to 1076.19 lakh persons which in turn accounts for around 97% of total employment in the sector. Small sector with 3.31 lakh

and Medium sector with 0.05 lakh estimated MSMEs provided employment to 31.95 lakh people and 1.75 lakh people which is 2.88% and 0.16% of total employment in the MSME sector, respectively.¹

Figure 12: No. of micros, small and medium enterprises¹

Sector	Micro	Small	Medium	Total	Share (%)
Rural	489.30	7.88	0.60	497.78	45
Urban	586.88	24.06	1.16	612.10	55
All	1076.19	31.95	1.75	1109.89	100

Figure 13: Distribution of micro, small and medium enterprises in rural and urban areas¹



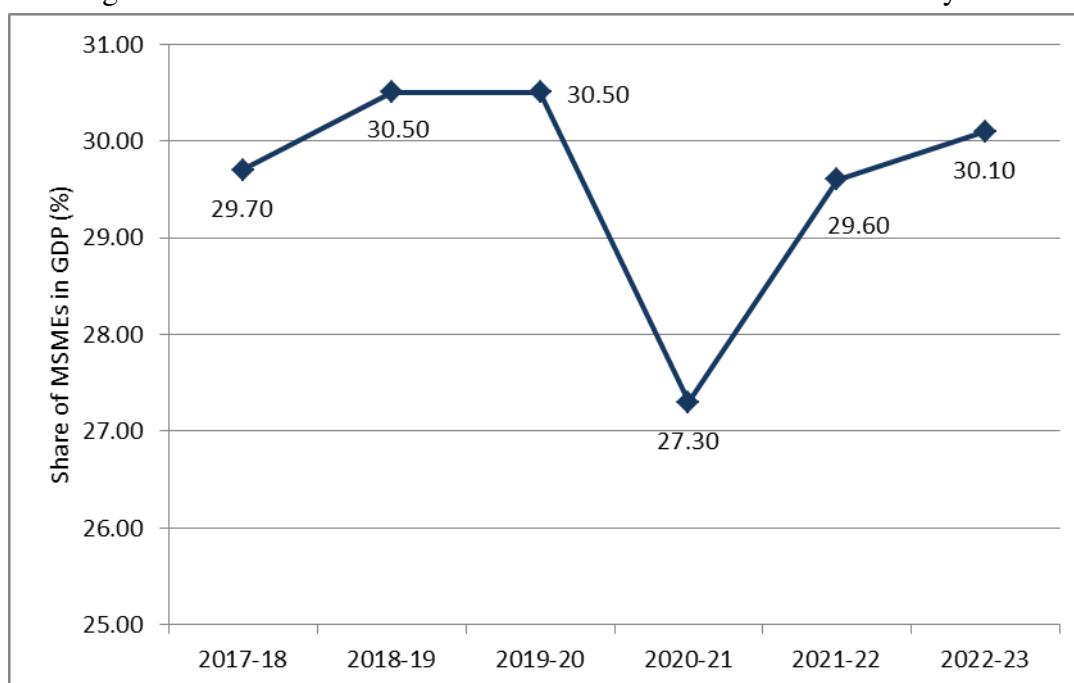
¹Ministry of MSME Annual Report 2022-23

MSMEs Contribute to GDP

MSMEs span diverse sectors and are therefore are critical for the socio-economic fabric of both urban and rural areas. They act as the backbone of large-scale industries by acting as service providers, suppliers and distributors for them at various levels of their supply

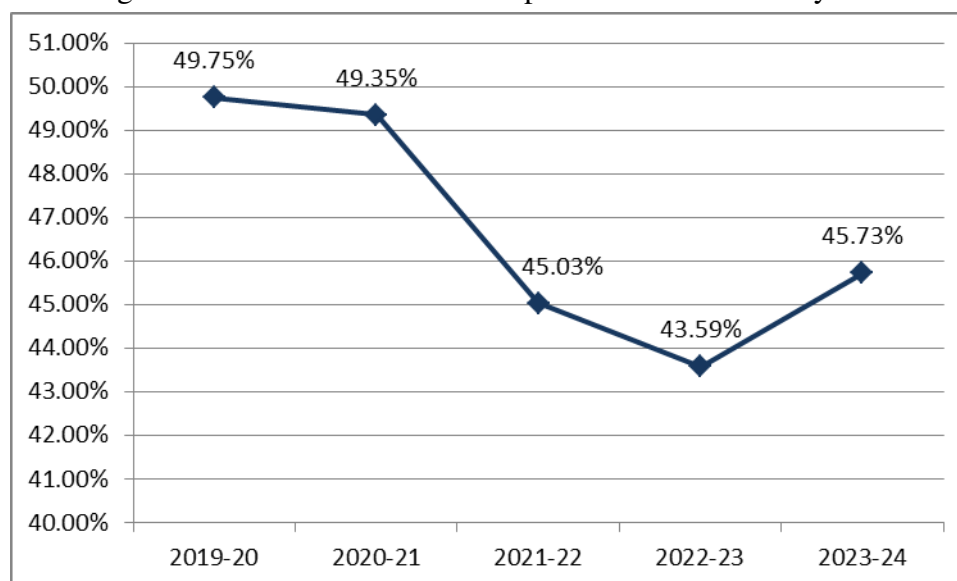
chain. Their adaptability enables them to cater to localized demands and niche markets. According to a recent report by the Ministry of Statistics and Programme Implementation, the share of MSME GVA in all India Gross Domestic Product (GDP) was 30.1% in the year 2022-23 compared to 29.6% in the year before that.¹

Figure 14: Share of MSME GVA in all India GDP over the last five years¹



MSMEs contributed to 49.75% of India's exports in the year 2019-20, which decreased to 49.35% in 2020-21 and further fell to 45.03% in 2021-22. The share declined to 43.59% in 2022-23 but recovered to 45.73% in 2023-24, with 45.79% recorded up to May 2024.

Figure 15: Share of MSMEs in exports over the last five years¹



MSMEs Promote Innovation

While not all MSMEs are innovative, new and small firms are often the driving force behind the innovations that are important for economic growth, since they can exploit commercial or technological opportunities that have been ignored by more established companies, work outside of dominant paradigms and enable the commercialization of knowledge that would otherwise remain un-commercialized. For instance, MSMEs account for about 20 percent of patents, in biotechnology related fields in Europe, which is one measure of innovation. MSMEs also contribute to value creation by adopting innovation generated elsewhere, and adapting it to different contexts through incremental changes, and by distributing new or niche products. Examples of some MSMEs that have come up with innovative products and are expected to cause a huge stir in the market are -

Palsgaard has developed a durable anti-fog

coating for industrial food packaging, which keeps food fresh for a longer time, thus helping to reduce food waste. Through its global presence, Palsgaard will market the product worldwide with a particular focus on the major packaging manufacturers in Asia and the United States.

RGS Nordic RGS Nordic is developing a digital platform that enables carriers to optimise the use of the many trucks visiting the company's more than 35 receiving and handling facilities in Scandinavia every day. The solution will significantly reduce the number of empty trucks and, consequently, CO2 and particle emissions. In the long term, the solution will be a best practice example of how sharing of transport data and cooperation between different industry actors can significantly reduce freight on European roads for the good of businesses, the environment and for people.

E.ON is developing a model for replacing fossil fuels in local heat production with eco-friendly and cheaper heat pumps in housing

¹Ministry of State for MSMEs

blocks, townhouses and schools. Heat production in many Danish housing associations is still based on fossil fuels like oil and gas. Moreover, a large number of the plants are outdated and not maintained after many years of wear. This results in high energy losses and unnecessary operating costs.

Need for Credit

Credit plays a crucial role in business strategies, serving as a key tool to achieve various financial goals and operational objectives. By providing access to funds, credit allows businesses to expand, manage cash flow, make strategic investments, and even weather economic challenges. The strategic use of credit can enhance a company's competitive position, support growth initiatives, and help in achieving long-term sustainability.

Figure 16: Need for credit



1. Supporting Business Expansion and Growth

- **Capital for Expansion:** Credit is needed to fund expansion activities, like opening new locations,

entering new markets, or increasing production capacity. Access to credit enables businesses to seize growth opportunities without having to wait for their own capital to accumulate.

- **Acquisitions and Mergers:** Businesses often acquire other companies to gain strategic advantage, diversify products or to increase their market share. Credit is used to finance such acquisitions.
- **Product Development:** Credit can help fund research and development (R&D) efforts to create new products, services, or technologies. This is especially important for businesses in fast-moving industries where innovation is key to maintaining competitiveness.

2. Managing Cash Flow and Operational Efficiency

- **Short-Term Liquidity:** Many businesses use credit to manage cash flow gaps, ensuring that they can meet day-to-day operational expenses such as salaries, supplier payments, or inventory purchases.
- **Seasonal Business Operations:** For businesses with seasonal fluctuations in sales, credit can help bridge the gap during low seasons, ensuring that operations run smoothly throughout the year without interruption.

3. Enhancing Financial Flexibility

- **Leveraging Debt for Growth:** Businesses can use credit as a financial lever to increase their return on equity (ROE). For instance, borrowing funds to invest

in profitable projects can generate returns higher than the cost of debt, thus enhancing the business's overall profitability.

- **Diversifying Funding Sources:** A well-rounded credit strategy involves utilizing different types of credit sources such as bank loans, lines of credit, factoring, or leasing to diversify funding sources. This reduces dependency on any one source and ensures financial flexibility. This acts as cushion against market volatility.

4. Improving Competitive Position

- **Investing in Technology and Innovation:** Credit can allow businesses to invest in cutting-edge technologies or automation that improve operational efficiency, reduce costs, or enhance customer experiences, helping them stay ahead of the competition.
- **Brand Building and Marketing:** By using credit to fund advertising and marketing campaigns, businesses can raise brand awareness, attract new customers, and build a loyal customer base, which is crucial in a competitive market.
- **Strategic Hiring and Talent Acquisition:** Credit can be used to hire skilled employees or invest in training programs to ensure that the business has the right talent to support growth strategies.

5. Boosting Customer and Supplier Relationships

- **Extended Credit Terms to Customers:** By offering trade credit to customers (allowing them to pay later), businesses can build stronger customer relationships and increase sales. This is particularly useful in industries where

competition is fierce, and businesses need to incentivize customers with favorable terms.

- **Supplier Financing:** By utilizing supplier credit or financing options, businesses can negotiate better deals or terms with suppliers, improving profit margins and cash flow management.

CHALLENGES FACED BY MSMEs

MSMEs face several challenges that hinder their growth and development. Many MSMEs lack the financial literacy to effectively manage their finances. They are often unable to get loans and credit because of lack of collateral and complex loan approval processes. Addressing these challenges requires a multifaceted approach, including technological advancements, government initiatives and support from financial institutions. Many MSMEs lack adequate collateral, are unable to

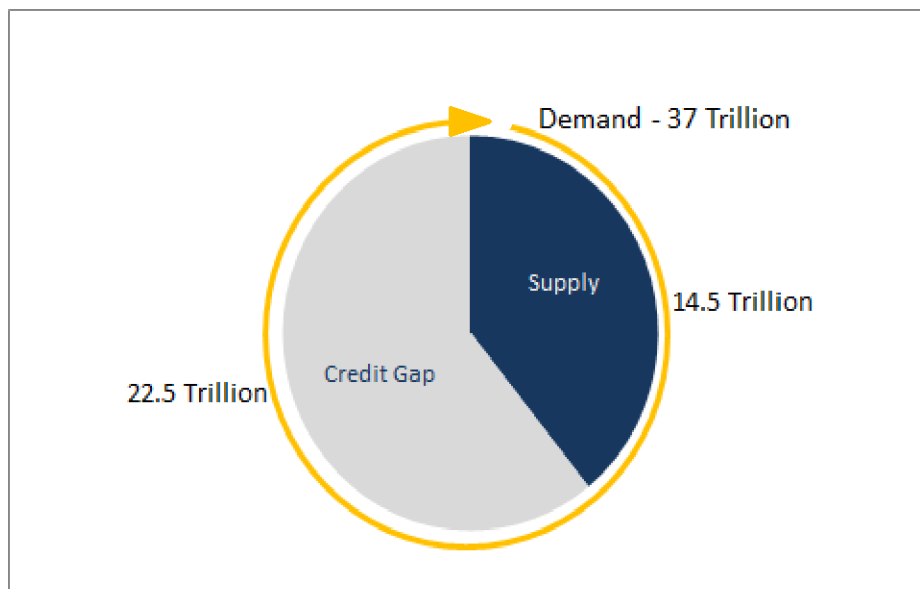
pay high interest rates and their financial track record often falls short of creditworthiness standards. Consequently, formal credit penetration in the sector stands at a mere 20%.¹ There were approximately 4.2 crore bank accounts of MSMEs in India, as of March 2021 and about 1.2 crore MSME units were registered under GST. But out of the estimated 6.34 crore MSMEs only 2.5 crore have ever been provided credit. This means that formal credit has only touched 39% of the MSMEs.²

Figure 17: Challenges faced by MSMEs



As per the UK Sinha Expert Committee on MSMEs Report, in India, the total addressable demand for external credit is estimated to be Rupees 37 trillion while the overall supply of finance from formal sources is estimated to be Rupees 14.5 trillion. Therefore, the overall credit gap in the MSME sector is estimated to be Rupees 20 – 25 trillion.¹

Figure 18: Supply and credit gap as per UK Sinha Expert Committee on MSMEs Report¹

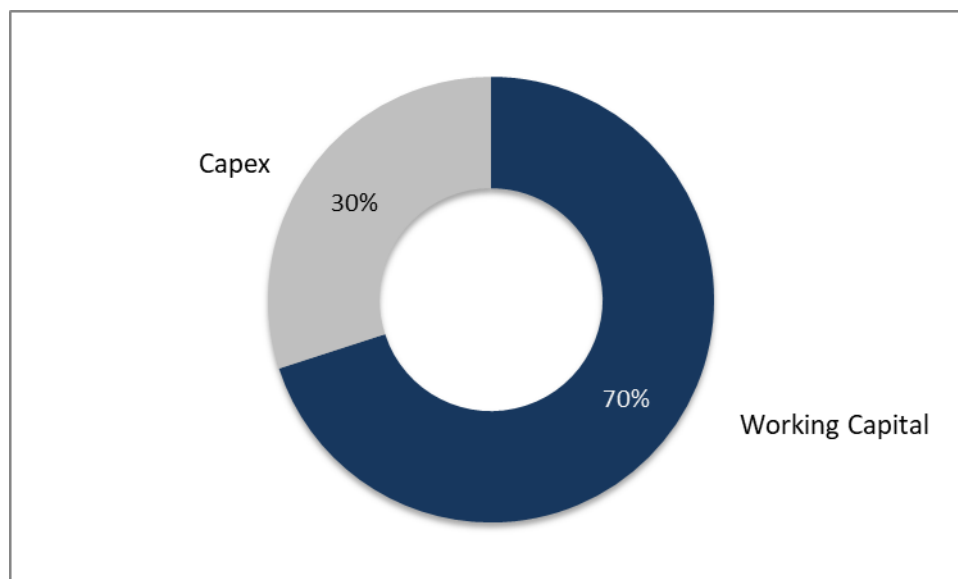


According to International Finance Corporation (IFC) of the World Bank Group Report of November 2018 titled ‘Financing India’s MSMEs’, the addressable credit gap for the MSME sector stood at Rs. 25.8 trillion.¹ MSME overall credit demand and gap by 2024 has been projected at Rs. 98 trillion and Rs. 37 - 40 trillion respectively, by Price Waterhouse

Cooper’s report on “Enhancing the MSME Financing Ecosystem in India” dated November 2019. Credit gap towards working capital and capex has been estimated to be in the ratio of 70:30 by the same report. Of this, around 70% of MSME credit gap will be attributable to the manufacturing sector.¹

¹IOSR Journal of Economics and Finance - e-ISSN: 2321-5933, p-ISSN: 2321-5925. Volume 1122 Issue 4 Ser. III (Jul. – Aug. 2020), PP 01-06

Figure 19: Credit gap towards working capital and capex as per Price Waterhouse Cooper's report on "Enhancing the MSME Financing Ecosystem in India"¹



Why are interest rates high?

MSMEs are typically less transparent than large firms because they have less publicly available information. Consequently, it becomes difficult for banks to assess the creditworthiness of MSMEs, which discourages lending and the lenders substitute the lack of information with higher requirement of collaterals and high interest rates.

Why do MSMEs lack collateral?

The assets that most MSMEs have are Movable assets like machinery and accounts receivables. However, due to weak legal and regulatory environments, banks are often reluctant to accept these assets as collateral, es-

pecially in developing countries. This results in MSMEs unable to get loans to fund their needs.

Why is there a lack of financial literacy?

A large number of MSMEs operate informally and in rural, backward areas of the society. In such cases MSME owner don't always have the financial literacy and management skills to manage their finances and credit needs. The information asymmetry caused due to informal running functioning of such MSMEs makes it challenging for lenders to assess their creditworthiness, particularly regarding their financial performance and therefore getting credit becomes difficult.

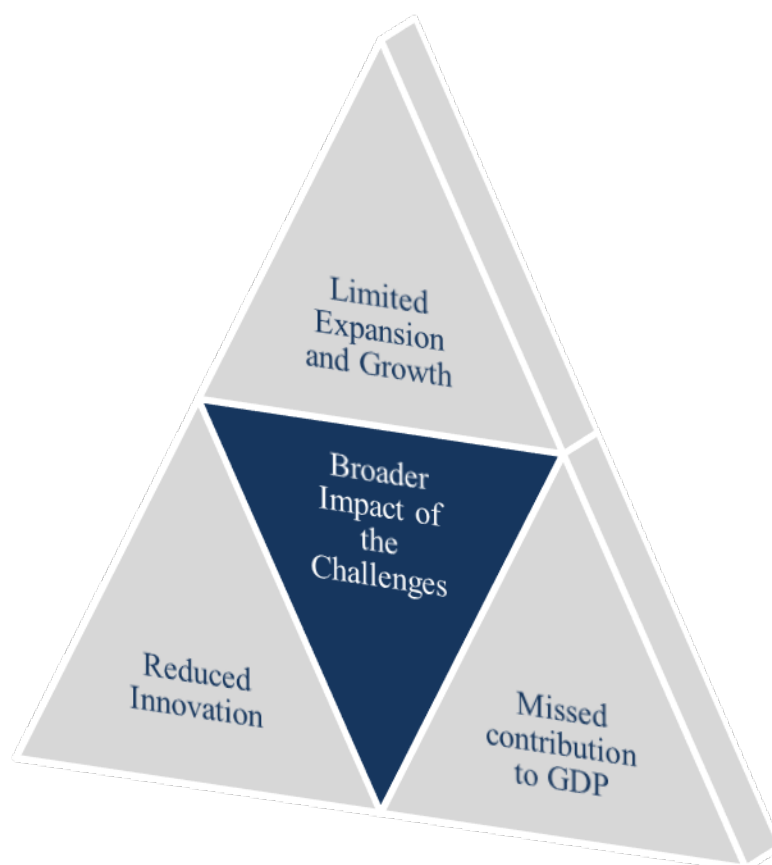
¹IOSR Journal of Economics and Finance - e-ISSN: 2321-5933, p-ISSN: 2321-5925. Volume 1123 Issue 4 Ser. III (Jul. – Aug. 2020), PP 01-06

BROADER IMPACT OF THE CHALLENGES

A credit gap, the mismatch between the demand for credit and its availability, can have significant negative impacts on our economy. When businesses, particularly micro, small and medium enterprises (MSMEs) which are the backbone of many economies, and underserved sectors like agriculture, cannot access sufficient credit, it hampers their ability to grow, invest, and innovate. This limits job creation and slows economic growth. This, in turn, can affect consumer spending, and overall economic activity. Additionally,

limited credit flow stifles consumption and entrepreneurship, key drivers of economic dynamism. Moreover, a credit gap can exacerbate income inequality, as those with access to credit are able to invest and grow, while those without are left behind. To mitigate these negative impacts, it is crucial to address the credit gap through various policy measures, such as improving financial literacy, simplifying loan approval processes, and promoting digital lending.

Figure 20: Broader impact of the challenges faced by MSMEs



1. Limited Expansion and Growth:

- **Restricted Investment** – MSMEs generally lack the financial resources required to invest in new machinery, technology, or expanding their operations. Lack of sources of credit limits their ability to scale up and create new jobs.
- **Working Capital Shortfalls** – Many MSMEs depend on credit sources to cover working capital gaps, especially those that have a seasonal business. A lack of working capital can lead to cash flow problems, making it difficult for MSMEs to pay suppliers, employees, and other expenses.

2. Reduced Innovation:

- **Limited Research and Development** – MSMEs often don't have the resources to invest in R&D and are therefore dependent on credit sources. Without sufficient funds, MSMEs may struggle to invest in research, hindering innovation and the development of new products and services.

3. Missed Contribution to GDP:

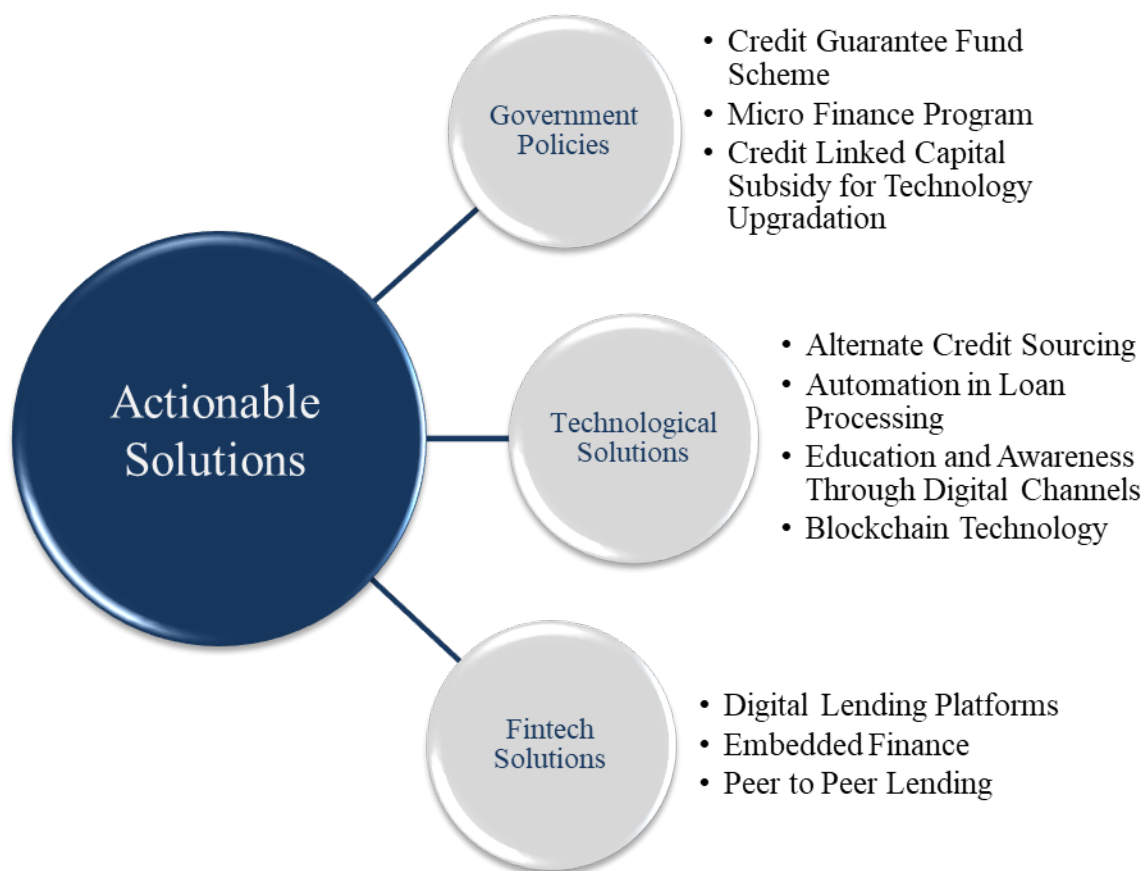
- **Don't Achieve Full Economic Potential** – MSMEs contribute to more than 30% of India's GDP.¹ They cannot reach their full economic potential without sufficient credit, indirectly affecting employment across supply chains and therefore affecting the GDP of the nation.

¹Ministry of State for MSMEs

ACTIONABLE SOLUTIONS

Bridging the credit gap through inclusive financial policies, innovative lending solutions, and robust regulatory frameworks is essential to ensure sustainable and equitable economic growth.

Figure 21: Actionable Solutions to Help MSMEs



Economic Contributions of MSMEs

The government should introduce policies which help MSMEs grow and develop. These policies should focus on providing credit for technology upgradation and provide loans without complex procedures, especially for very small micro businesses. They should also provide collateral free loans, set up rules to

help MSMEs to get payment on time and promote financial literacy among MSME owners. The Indian government already has many policies and schemes to support micro, small, and medium enterprises (MSMEs), including:

- Credit Guarantee Fund Scheme – This scheme provides collateral free loans to MSMEs
- Micro Finance Program – Under this program, the government of India pro-

vides funds for Microfinance Institutions (MFIs) and NGOs to SIDBI.

- Credit Linked Capital Subsidy for Technology Upgradation – This scheme aims at facilitating technology upgradation by providing 15% upfront capital subsidy to MSEs.
- MSME Market Development Assistance - The scheme offers funding up to 75% in respect of to and fro air fare for participation by MSME entrepreneurs in overseas fairs/trade delegations.
- Coir Vikas Yojana – This program aims at women empowerment through the provision of spinning equipment at subsidized rates after appropriate skill development training.
- Raw Material Assistance – This scheme provides financial assistance to MSMEs for procurement of raw materials upto 90 days.
- Marketing Assistance – Under this scheme exhibitions are co-sponsored and organized and financial assistance of up to 95% of the air-fare and space rent for entrepreneurs is provided.

Technological Solutions

Technological solutions play a transformative role in tackling the credit gap by enhancing access, affordability and efficiency in lending. By leveraging technology, we can create a more inclusive and efficient financial ecosystem, empowering MSMEs to grow and contribute to economic development.

- Alternative credit scoring – Very of-

ten MSMEs lack collateral and financial history needed to assess creditworthiness. In such cases lenders often refuse to provide loans or charge exorbitantly high interest rates. Technology can be used to assess creditworthiness of such enterprises using alternate sources like GST filing and bank transactions.

- Automation in loan processing – Loan processing is a repetitive and time taking process. Automating this process can help reduce the time invested and cut down human error. Digital document verification can also speed up processing.
- Education and awareness through digital channels – Many MSME owners are unable to manage their finances and the credit needs of the company due to lack of financial literacy. Educating MSME owners about financial products and credit options and spreading awareness about Ministry of MSME portals that provide resources and information can enable them to gather funds for their enterprises on their own.
- Blockchain Technology – This is an advanced database mechanism that works as a secure, decentralized and transparent way to share information and record transactions. Use of blockchain enhances security and transparency of financial transactions, reducing the risk of fraud and default. Smart contracts can also help to save time and money and improve accuracy by automating the entire process.

Fintech Solutions

Fintech has emerged as a powerful tool to bridge the credit gap and empower MSMEs. Financial institutions are revolutionizing the credit market by addressing the credit gap through innovative, technology-driven approaches. Digital lending and Peer to Peer lending firms connect borrowers and lenders directly, bypassing traditional banks and cutting down on costs.

- Digital lending platforms – By leveraging Artificial Intelligence and Machine Learning these platforms are making credit assessment easier, faster and cheaper. They offer simplified loan application process and do not require the borrower to visit their branch cutting down on transportation costs and saving borrower time. Examples of such firms

include Lendingkart, Capital Float etc.

- Embedded finance – Some companies integrate financial services with non-financial platforms or applications like e-commerce sites. It involves offering banking, lending, insurance, and investment services directly within a non-financial company's platform or app. Examples are Amazon Lending, Flipkart Seller Hub etc.
- Peer to Peer Lending (P2P) – This is a financial innovation that connects borrowers directly to lenders, without the need of traditional institutions like banks or NBFCs. In this model, individuals or corporations can obtain loans from other individuals or institutions through online platforms. P2P lending platforms often help to offer customized loans. Examples of such platforms include Faircent, Liquiloans etc.